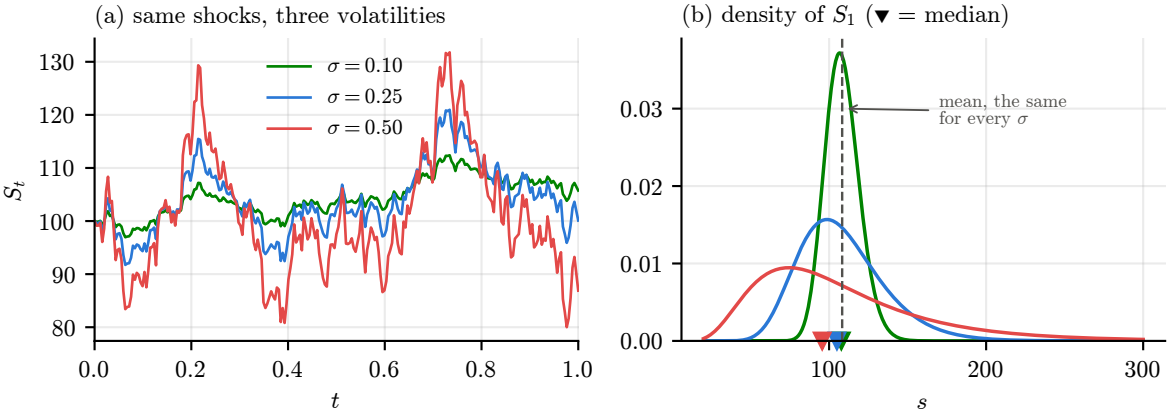
(a) same shocks, three volatilities
$\sigma = 0.10$
$\sigma = 0.25$
$\sigma = 0.50$
S_t
130
120
110
100
90
80
0.0
0.2
0.4
0.6
0.8
1.0
t
(b) density of S_1 (▼ = median)
mean, the same
for every σ
0.03
0.02
0.01
0.00
100
200
300
s